



Report No: RES00860

RESTRUCTURING PAPER
ON A
PROPOSED PROJECT RESTRUCTURING
OF

Clean Energy for Vulnerable Households and Communities Project

APPROVED ON 27-Jun-2023

TO

Argentine Republic

Energy & Extractives
Latin America And Caribbean

Regional Vice President:	Susana Cordeiro Guerra
Regional Director:	Maria Marcela Silva
Country Director:	Peter Siegenthaler
Practice Manager:	Gabriela Elizondo Azuela
Task Team Leader(s):	Lucia Spinelli



ABBREVIATIONS AND ACRONYMS

PDO	Project Development Objective
PERMER	Argentina Renewable Energy for Rural Areas Project (<i>Proyecto de Energías Renovables en Mercados Rurales</i>)
PIU	Project Implementation Unit

**BASIC DATA****Product Information**

Operation ID P178553	Operation Name Clean Energy for Vulnerable Households and Communities Project
Product/Financing Instrument Investment Project Financing (IPF)	Geographical Identifier Argentina
Approval Date 27-Jun-2023	Current Closing Date 30-Jun-2029
Environmental and Social Risk Classification (ESRC) Moderate	

Organizations

Borrower Argentine Republic	Responsible Agency Secretariat of Energy
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OPERATION STATUS**Project Development Objective (DO)**

Original Development Objective

The objective of the Project is to increase energy access and energy efficiency in vulnerable households and communities and to respond promptly and effectively in case of an Eligible Crisis or Emergency.

Disbursement Summary (in USD million)

Source of Funds	Net Commitment	Disbursed	Undisbursed	% Disbursed
IBRD	41.00	28.00	13.00	68.29



IDA	--	--	--	0
Grants	--	--	--	0

Policy Waivers

Does this restructuring trigger the need for any policy waiver(s)?

No



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I. PROJECT STATUS AND RATIONALE FOR RESTRUCTURING

A. Summary

1. The purpose of this restructuring paper is to process a Level 2 restructuring of the Clean Energy for Vulnerable Households and Communities Project (P178553), as requested by the Borrower. The restructuring includes a partial cancellation of loan proceeds totaling US\$13 million, an adjustment of the project design to align with the remaining financing envelope of US\$28 million, and an advancement of the closing date to December 20, 2026. It follows the Government's request for a partial cancellation of US\$359 million, processed as part of a broader portfolio cancellation in January 2025. As a result, the project scope, components, results framework, and institutional arrangements will be revised to reflect the US\$28 million financing envelope. This is the project's second restructuring.

B. Project description and Status

2. **Original project design.** The project aimed to increase energy access and energy efficiency in vulnerable households and communities and to respond promptly and effectively in the event of an Eligible Crisis or Emergency. Component 1 was expected to finance the installation of clean and renewable energy systems and improvements to electricity services in remote and vulnerable rural households and communities. Component 2 was intended to subsidize the replacement of old and inefficient appliances in vulnerable households and support the replacement of inefficient lighting in community centers.
3. **Key milestones.** The project was approved by the Board of Directors in June 2023 and became effective in October 2023. As of January 2024, the project had disbursed US\$41 million. In January 2025, a cancellation of US\$359 million was processed.
4. **Progress toward the Project Development Objective and implementation progress are rated Moderately Unsatisfactory.** After the current administration took office, the World Bank portfolio was reviewed, and projects that were not aligned with government priorities were fully or partially canceled. In this context, and following the initial cancellation of US\$359 million, the Secretariat of Energy decided to proceed with the implementation of 17 of the 33 contracts already signed under Component 1. Under this restructuring, Component 2 is being fully canceled, and Component 3 will be used exclusively to cover administrative expenses.

C. Rationale for Project restructuring

5. The Government of Argentina requested a review of the World Bank portfolio to better align Bank financing with its updated strategic priorities. As a result, activities under the Clean Energy for Vulnerable Households and Communities Project that are no longer immediate priorities will not be implemented.
As part of this review, US\$359 million in uncommitted funds was canceled in January 2025. At that time, the project scope was not adjusted because the Government had not yet determined whether an additional



cancellation would be required. In early 2026, the Government requested an additional cancellation of US\$13 million. This restructuring therefore cancels US\$13 million and adjusts the project scope to reflect the current total financing amount of US\$28 million.

II. DESCRIPTION OF PROPOSED CHANGES

6. **The proposed Level 2 restructuring seeks to align the project with the revised financing envelope through the following changes:**
- a. **Cancellation of US\$13 million.** As requested by the Government of Argentina, US\$13 million under Category 1 will be canceled because the use of these funds is no longer foreseen.
 - b. **Reduction of project scope.** The project design is being adjusted to reflect the US\$28 million financing envelope, allocated primarily to Component 1, with limited administrative expenses under Component 3. Under Component 1, six contracts are being finalized and are expected to reach more than 19,000 beneficiaries.
 - c. **Adjustment of the project results framework.** The results framework is being updated to reflect the activities that will be implemented and the targets expected to be achieved under the revised project scope.
 - d. **Advancement of the closing date and disbursement deadline date.** Given the limited number of activities remaining under implementation, the closing date is being advanced to December 20, 2026.

III. PROPOSED CHANGES

Operation Information	Proposed Changes	Operation Information	Proposed Changes
Results	Yes	Loan Closing Date Extension	Yes
Disbursements Estimates	Yes	Loan Cancellations	Yes
Components	Yes	Reallocations	Yes
Development Objective	No	Financial Management	No
Summary Description (Operation Abstract)	No	Procurement	No
Legal Operational Policies	No	Institutional Arrangement	No
MFD/PCE	No	Implementation Schedule	No
Risks	No		
Legal Covenants	No		



Conditions	No		
Implementation Modalities	No		
Disbursements Arrangements	No		
DDO	No		
Clients	No		
Appraisal Summary	No		

IV. DETAILED CHANGE(S)**COMPONENTS**

Current Component Name	Current Cost (USD)	Action	Proposed Component Name	Proposed Cost (USD)
Component 1: Increase energy access in vulnerable households and communities	223,000,000.00	Revised	Increase energy access in vulnerable households and communities	27,000,000.00
Component 2: Increase energy efficiency in vulnerable households and communities	210,000,000.00	Marked for Deletion		
Component 3: Project management and support for policymaking	14,000,000.00	Revised	Project management and support for policymaking	1,000,000.00
Component 4: Contingent Emergency Response Component	0.00	No Change	Contingent Emergency Response Component	0.00
TOTAL	447,000,000.00			28,000,000.00

COSTS & FINANCING**Private Capital Facilitation**

Is this an MFD-Enabling Project (MFD-EP)?

Is this project Private Capital Enabling (PCE)?



LOANS

Loan Closing

Loan/Credit/Trust Fund	Status	Original Closing	Revised Closing(s)	Proposed Closing	Proposed Deadline for Withdrawal Applications
IBRD-95210	Effective	30-Jun-2029	30-Jun-2029	20-Dec-2026	20-Apr-2027

Cancellations

Loan/Credit/Trust Fund	Status	Currency	Current Amount	Cancellation Amount	Value Date of Cancellation	New Amount	Reason for Cancellation
IBRD-95210-001	Disbursing	USD	41,000,000.00	13,000,000.00	28-May-2026	28,000,000.00	BORROWER'S REQUEST FOR COUNTRY REASONS

Reallocations

IBRD-95210-001	Currency: USD	Cancellations (if any): 13,000,000.00	New Allocation: 28,000,000.00
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Category No.	Expenditure Category	Current Allocation	Actuals + Committed	Proposed Allocation	Financing % (Type Total)	
					Current	Proposed
1	GO, CW, CS, NCS, TR & OP Pts 1,2,3;	40,000,000.00	12,115,252.61	27,000,000.00	100.00	100.00
2	Vouchers Part 2(a);	0.00	0.00	0.00	100.00	100.00
3	Emergency Expenditures under Pt 4;	0.00	0.00	0.00	100.00	100.00
5	Int Rate Cap or Int Rate Collar;	0.00	0.00	0.00	0.00	0.00
	FRONT END FEE;	1,000,000.00	1,000,000.00	1,000,000.00	0.00	0.00
Total		41,000,000.00		28,000,000.00		

DISBURSEMENTS

**Operation Dates & Projection Details**

Reasons to change the full Disbursement date and/or the projection

Implementation Start Date

27-Jun-2023

Operation Closing Date

30-Jun-2029

Projected Date for Full Disbursement

30-Sep-2029

Expected Disbursements (in US \$) (Absolute)

Year	Original Estimation at Preparation (Approval Package – 27 Jun 2023)	Revised Estimation	Actual
FY2023	333,333.34	0.00	0.00
FY2024	25,400,000.00	40,000,000.00	40,000,000.00
FY2025	59,200,000.00	0.00	0.00
FY2026	69,500,000.00	-13,000,000.00	-13,000,000.00
FY2027	90,100,000.00	0.00	0.00
FY2028	100,400,000.00	0.00	0.00
FY2029	50,200,000.00	0.00	0.00
FY2030	4,200,000.00	0.00	0.00

ENVIRONMENTAL & SOCIAL**Environmental & Social Assessment**

According to the E/S Specialist are there changes proposed to the operation's design that would impact the Bank's E&S assessment?"

No



RESULTS

COUNTRY: Argentina

Clean Energy for Vulnerable Households and Communities Project

PDO Indicators by PDO Outcomes

Increase energy access in vulnerable households and communities								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise People provided with new or improved electricity service (Number)	0.00	Jul/2023	5,265	20-Dec-2024	19,193	30-Sep-2025	51,674	Dec/2026
Revise Projected energy or fuel savings (Mega Joules (MJ))	0.00	Jul/2023	158,612,640	20-Dec-2024	527,374,380	30-Sep-2025	820,506,024	Dec/2026
Increase energy efficiency in vulnerable households and communities								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year

Intermediate Results Indicators by Components

Increase energy access in vulnerable households and communities ^{Revised}								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
	0.00	Jul/2023	0.00	20-Dec-2024	0.03	30-Sep-2025	23	Dec/2026



Revise Generation capacity of mini-grids (Megawatt)	Comments on achieving targets		This indicator measures the installed capacity of mini-grids constructed or rehabilitated under the Project. The baseline value is expected to be zero.					
Revise People provided with new or improved energy access through mini-grids (Number)	0.00	Jul/2023	0.00	20-Dec-2024	320	30-Sep-2025	320	Dec/2026
	Comments on achieving targets		This indicator measures the number of people that have received an electricity connection under the Project via new or enhanced connections through mini-grids aimed at connecting households and public buildings using renewable sources (solar, wind, etc.). The baseline value for this indicator is expected to be zero.					
Revise Generation capacity of solar PV systems (Megawatt)	0.00	Jul/2023	0.33	20-Dec-2024	1.21	30-Sep-2025	2.54	Dec/2026
	Comments on achieving targets		This indicator measures the capacity of generation through standalone solar PV systems for households or institutions and installed under the Project. The baseline value is expected to be zero.					
Revise People provided with new or improved energy access through solar PV systems (Number)	0.00	Jul/2023	5,265	20-Dec-2024	18,873	30-Sep-2025	51,354	Dec/2026
	Comments on achieving targets		This indicator measures the number of people that have received access to electricity under the Project via new or enhanced connections using standalone solar PV systems aimed at connecting households or public buildings. The baseline value for this indicator is expected to be zero.					
Change in the time women spend on domestic/unpaid care work (Percentage)	0.00	Jul/2023	40	20-Dec-2024	40	30-Sep-2025	-10.00	May/2029
	Comments on achieving targets		This indicator will measure how much time women spend on domestic and/or unpaid work prior to Project activities and compare it with the time devoted for the same activities after rural electrification or improved service efforts have been undertaken, as these should help reduce the time for such tasks.					
Revise Net greenhouse gas (GHG) emissions (Metric tons/year)	0.00	Jul/2023	-10,459.82	20-Dec-2024	-10,491	30-Sep-2025	2,701	Dec/2026
	Comments on achieving targets		Project net greenhouse gas (GHG) emissions are calculated as an annual average of the difference between project gross (absolute) emissions aggregated over the economic lifetime of the project and the emissions of a baseline (counterfactual) scenario aggregated over the same time horizon. They are reported in metric tons of carbon dioxide equivalent per year.					
Project management and support for policymaking Revised								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise Development of an assessment of the participation of rural women in employment in the renewable energy sector (Text)	No	Jul/2023	---	20-Dec-2024	---	30-Sep-2025	Yes	Dec/2026
	Comments on achieving targets		This indicator seeks to assess the current situation of rural women employment in the renewable energy sector.					
	0.00	Jul/2023	65	20-Dec-2024	234	30-Sep-2025	460	Dec/2026



Revise People trained on clean energy issues in connection with the Project (Number)	Comments on achieving targets		This indicator measures the number of people and beneficiaries that are trained in clean energy issues under the Project. It includes relevant stakeholders, including the PCU, PEUs, public and private sector institutions, and direct Project beneficiaries as well as government officials, university students, entrepreneurs, local technicians, and others.					
Revise of which females (Number)	0.00		23		117		230	
	Comments on achieving targets		This subindicator measures the number of women trained in clean energy issues under the Project and including relevant stakeholders, including the PCU, PEUs, public and private sector institutions, and beneficiaries, amongst others.					